

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.
(Complainant)

vs.

Top Shipping Systems, Corp.
(Respondent)

MOTION FOR INTERIM RELIEF TO PREVENT SPOILIATION AND
INTIMIDATION

Complainant FormuKleen, Inc. (“FormuKleen”), by and through its Representative, respectfully moves the Federal Maritime Commission (the “Commission”) to issue immediate interim relief in the form of a protective order and/or cease-and-desist directive prohibiting Respondent Top Shipping Systems (“TSS”) from destroying any goods, documents, or property associated with this proceeding, and from engaging in any further acts of intimidation or retaliation against Complainant or its witnesses.

1. INTRODUCTION AND FACTUAL BACKGROUND

Earlier today, a representative of TSS, identified as Ricky Villena, verbally confronted FormuKleen’s principal during an attempted cargo retrieval. While smiling, Mr. Villena stated:

“Are you looking for trouble?”

“Everything is scheduled to be destroyed on Monday.”

This interaction was witnessed by a third-party truck driver, who is currently preparing a contemporaneous statement, and was corroborated by a TSS employee named Rachel, who reportedly attempted to de-escalate the situation by physically intervening and asking Mr. Villena to “stop.”¹

These statements appear to constitute:

- A threat of imminent spoliation of evidence central to these proceedings;
- Witness intimidation and retaliation against a party to an active FMC case;
- An attempt to circumvent the jurisdiction and authority of the Commission.

Sworn affidavits and detailed witness statements are currently being prepared. This conduct follows a pattern of obstruction already described in the Complaint and forthcoming in Complainant’s Response.

2. LEGAL AUTHORITY FOR INTERIM RELIEF

The Commission is fully empowered to grant interim relief when necessary to prevent spoliation, intimidation, and obstruction of its adjudicatory process. Two primary sources of authority apply:

A. Protective Orders Under 46 C.F.R. § 502.141(j)

The Commission may issue protective orders for “good cause” to protect a party from “annoyance, embarrassment, oppression, or undue burden or expense.” While often applied in the context of discovery, the regulation’s plain language and Commission precedent support its broader use to prevent harassment, threats, or acts undermining the proceeding itself. Threatening to destroy evidence, interfere with cargo recovery, or intimidate witnesses constitutes exactly the type of

¹ Complainant will file affidavits from the driver and principal in forthcoming supplementary exhibits. Due to the urgency of the matter, Complainant feels it necessary to file this Motion immediately and without delay.

oppression § 502.141(j) is intended to prevent. Of additional note is the fact that the unlawful destruction of any of Complainant's property is direct interference with the discovery process.

B. Administrative Law Judge Powers Under 5 U.S.C. § 556(c)

The Administrative Procedure Act authorizes presiding officers to:

- “Regulate the course of the hearing” (§ 556(c)(5)),
- “Dispose of procedural requests or similar matters” (§ 556(c)(9)), and
- “Take other action authorized by agency rule” (§ 556(c)(11)).

These provisions empower the Commission to act affirmatively to preserve the status quo, prevent interference, and maintain the integrity of the record. The threat to “destroy everything on Monday” falls squarely within the Commission's purview to intervene and halt retaliatory or destructive conduct.

C. Commission Precedent Supports Relief Against Spoliation and Obstruction

The Commission has previously addressed failures to preserve evidence or cooperate with Commission proceedings through protective orders, sanctions, and adverse inferences. In *Rana v. The Right Move Inc.*, FMC Docket No. 19-03 (Feb. 12, 2020), the Commission confirmed that discovery misconduct, such as refusal to respond or cooperate, may support an adverse inference, even if default judgment is not warranted. While that case arose during discovery, it illustrates the Commission's broader authority to respond to obstructive behavior that threatens the integrity of its proceedings.

Here, Respondent's attempt to intimidate witnesses and threaten destruction of property before discovery even begins justifies immediate protective action; and may warrant sanctions if not remedied. As courts have long recognized, “*imposing an adverse inference from the fact that evidence is missing is a generally accepted principle of law that finds its roots in the 18th century.*” *Clark Constr. Group*,

Inc. v. City of Memphis, 229 F.R.D. 131, 139 (W.D. Tenn. 2005) (quoting *Welsh v. United States*, 844 F.2d 1239, 1244 (6th Cir. 1988)). The primary purpose of such sanctions is “to prevent a party who has refused to cooperate in discovery from benefitting from that party’s wrongful conduct.” *Clark*, 229 F.R.D. at 140.

While Complainant is not yet in discovery, the threat to destroy material evidence before discovery even begins presents an equally grave danger to the integrity of these proceedings. Protective relief is thus essential not only to preserve the record, but also to prevent Respondent from later disclaiming responsibility for the consequences of its own obstruction. Courts have applied these same principles in maritime cargo cases, confirming that spoliation sanctions, including adverse inferences and evidentiary preclusion, are appropriate when physical evidence such as vessels, equipment, or cargo is destroyed while still in the control of a party to litigation.

Although the current matter involves threatened destruction of cargo and intimidation of witnesses, not document retention per se, the principle is identical: a party who threatens to interfere with the evidentiary or procedural integrity of a pending FMC proceeding is subject to protective directives and sanctions. Respondent may argue that because the goods in question belong to Complainant, their destruction would not constitute spoliation. That argument fails. The critical fact is that Respondent remains in custody and control of the goods at this time and has issued a direct threat to destroy them before Complainant can retrieve them. Spoliation does not require ownership of the evidence. It requires control, notice of relevance, and a failure to preserve.

Courts routinely apply spoliation principles in marine cargo cases, emphasizing that “[w]hen spoliation of evidence has occurred, it can lead to the imposition of various judicial sanctions, including... evidentiary inferences, adverse jury instructions, and preclusion of testimony and evidence.” (*Spoliation of Evidence in Ocean and Inland Marine Claims*, Feldman, Cozen O’Connor,

citing *Knight v. F/T Endurance*, 1996 WL 376353, D. Alaska). Sanctions have been imposed where vessels, trailers, or critical components were destroyed or altered before the opposing party had an opportunity to inspect. The key factor is not ownership, but control and timing. Courts recognize that spoliation can shift burdens, trigger presumptions, and justify preclusion; even where chain of custody was expected to change but did not because of obstructive conduct.

3. REQUEST FOR RELIEF

Complainant respectfully requests that the Commission issue an interim order directing Respondent as follows:

1. Cease and desist from destroying, discarding, damaging, or otherwise tampering with any cargo, documents, inventory, or other property associated with FormuKleen, Inc. or this proceeding, pending further order of the Commission;
2. Refrain from any further verbal or physical contact with Complainant, its officers, representatives, or known witnesses, except through counsel or in writing;
3. Preserve all internal communications, records, and correspondence related to the threatened destruction, including those involving Mr. Ricky Villena, “Rachel,” and any warehouse or shipping personnel;
4. Provide the Commission with an inventory of all FormuKleen cargo or property currently in Respondent’s custody or control, with confirmation that it is secure and will not be altered or disposed of without Commission permission.

Complainant further requests expedited consideration of this Motion and reserves the right to seek additional remedies, including sanctions, referral to law enforcement, or adverse inference, as appropriate.

Respectfully submitted,

Sara Dandan

Licensed to practice before the Commission and in good standing

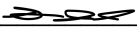
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Signature: _____

Date: 07/10/2025_____

CERTIFICATE OF SERVICE

I certify that on July 10th, 2025, a true and current copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondents:

Ricky Villena

Vice President, Top Shipping Systems Corp.

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